

CONFIDENTIAL INFORMATION MEMORANDUM

PROJECT SUNDIAL

Slumber Smart, Inc.

Sleep-Tech Hardware & Software Platform

April 2022 | STRICTLY PRIVATE & CONFIDENTIAL

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All financial data is presented in U.S. dollars unless otherwise noted. Fiscal year end is December 31.

Table of Contents

I	Executive Summary	4
II	Investment Highlights	5–6
III	Company Overview	7–8
IV	Products & Technology	9–10
V	Market Opportunity	11
VI	Competitive Landscape	12
VII	Business Model & Revenue Mix	13
VIII	Customer & Channel Strategy	14
IX	Historical Financials	15–16
X	Management Projections	17
XI	Management Team	18
XII	Transaction Overview	19
	Appendix	20

Executive Summary

Slumber Smart — Premier Platform for Precision Sleep Optimization

Slumber Smart, Inc. ("Slumber Smart" or the "Company") is the category-defining brand in premium sleep-tech hardware and software. Founded in 2014 by CEO Maya Chen, the Company designs and sells an integrated ecosystem of smart mattress pads, biometric monitoring hardware, and AI-powered sleep coaching software — collectively branded as the SlumberPod™ system and SlumberOS™ platform.

The Company serves an affluent, health-conscious consumer base that increasingly views sleep as a core wellness priority. Its DTC-first model (78% of revenue) drives superior unit economics with a CAC of ~\$180 and an LTV of ~\$1,900, yielding a <6-month payback period.

Slumber Smart has grown revenue at a 26% CAGR from FY2019 to FY2021, reaching \$115M in FY2021 and an estimated \$145M LTM through Q1 2022. Adj. EBITDA has grown from \$7.5M (10.4% margin) in FY2019 to \$18M (12.4% margin) LTM — demonstrating strong operating leverage as the subscription layer (currently \$29M ARR) continues to scale.

\$145M

LTM Revenue

\$18M

LTM Adj. EBITDA

+28%

YoY Revenue Growth

\$29M

Subscription ARR

~185K

Subscribers

115%

Net Revenue Retention

Investment Highlights

A platform built to win in the premium sleep economy (1 of 2)

01 Market leadership in a structurally growing category

Sleep health is the fastest-growing segment of the \$80B wellness economy

~\$2.5B premium sleep-tech TAM growing 18% CAGR through 2026 (per Frost & Sullivan 2022)

Slumber Smart holds 35% share in the smart mattress sub-segment — 2.5x next closest competitor

02 Proprietary hardware-software flywheel with defensible IP

15 patents (10 granted, 5 pending) on thermal regulation algorithms and biometric integration

Each night of use feeds the SlumberAI model — accuracy improves with scale, creating embedded switching cost

Software platform (SlumberOS) handles 95M+ nightly data points; 3.2M+ nights of training data accumulated

03 Exceptional subscription economics — high-quality recurring revenue

\$29M ARR growing ~60% YoY; subscription attached to 73% of hardware sold in trailing 12 months

115% Net Revenue Retention — upsell from Basic (\$9.99/mo) to Premium (\$24.99/mo) coaching tier

Cohort analysis shows 3-year gross retention of 82% — best-in-class for consumer hardware subscription

Investment Highlights

A platform built to win in the premium sleep economy (2 of 2)

04 Proven DTC model with rapidly expanding retail presence

78% DTC direct (slumbersmart.com) — drives 45%+ gross margins and rich customer data ownership

Retail expansion: Nordstrom (2020), Crate & Barrel (2021), Best Buy (2022Q1) — retailer re-orders accelerating

International (UK, AU) launched Q3 2021; revenue tracking \$9M annualized with minimal incremental OpEx

05 Significant white-space for geographic and product expansion

Europe (Germany, France, Netherlands) targeted for 2023; \$500M+ premium sleep-tech addressable market

Adjacent SKUs in late-stage development: SlumberPillow™, SlumberCrib™ (infant sleep monitor)

SlumberPro™ for B2B (luxury hotels, corporate wellness) — pilot with Marriott Bonvoy completed Q4 2021

06 Experienced, founder-led management team — proven operating track record

Maya Chen (CEO, founder) — previously VP Product at Fitbit; built Slumber Smart from zero to \$145M revenue

CFO (Rachel Torres) — ex-Purple Innovation CFO; scaled operations through IPO; joined 2020

COO (Kevin Park) — built Casper supply chain; reduced COGS 7pp over 4 years at Slumber Smart

Company Overview

Purpose-built to be the operating system for sleep health

led in Boulder, CO by Maya Chen.
First prototype developed.

SlumberOS app launched. 25K units sold.
Series B (\$28M) closes.

Nordstrom partnership. COVID-driven
DTC surge. Revenue \$91M (+26%).

Best Buy partnership. \$29M AI
Initiating sale process via Goldman Sachs.

2014

2018

2020

2022

2016
SlumberPod Gen 1 launched. Series A
(\$12M) led by Breakthrough Ventures.

2019
Revenue reaches \$72M. First profitable
quarter. Series C (\$45M).

2021
International launch (UK/AU).
SlumberPod Gen 3. Revenue \$115M
(+26%).

2014	Boulder, CO	~380 FTEs	Taiwan (OEM)	15 (10 granted)	US, CA, UK, AU
Founded	HQ	Employees	Manufacturing	Patents	Markets

Products & Technology

An integrated hardware-software ecosystem for precision sleep

FLAGSHIP HARDWARE

\$1,799

SlumberPod™ Pro

Dual-zone thermal regulation mattress pad (-5°C to +10°C)

Integrated heart rate, HRV, and respiratory monitoring

Whisper-quiet Active Noise Module (<22 dB at 1m)

ENTRY HARDWARE

\$999

SlumberPod™ Base

Single-zone thermal regulation

Basic sleep stage tracking via accelerometer

Full SlumberOS compatibility

SOFTWARE SUBSCRIPTION

\$24.99/mo

SlumberOS™ Premium

AI-powered nightly sleep report + coaching

Chronotype optimization & circadian scheduling

Integration with Oura, Apple Health, Whoop

ENTERPRISE (PILOT)

Custom

SlumberPro™ B2B

White-label hardware + data dashboard

Marriott Bonvoy pilot (120 rooms, Q4 2021)

Corporate wellness programs — 3 contracts active

Market Opportunity

Large and growing sleep economy with premium tech underpenetrated

Global Sleep Economy

Includes mattresses, supplements, tracking, therapy (2022E)

\$80B+

Smart Sleep Device Market

Connected hardware + software; 18% CAGR to 2026

\$8B

Premium Sleep-Tech (>\$500 ASP)

Slumber Smart's core TAM; 22% CAGR to 2026

\$2.5B

US Addressable Market Today

~14M premium-eligible households; current 4% penetration

Key Market Tailwinds: (1) Post-COVID elevation of sleep as a health priority; (2) Wearable biometric adoption normalizing across age groups; (3) Employer wellness programs incorporating sleep optimization; (4) Premium mattress replacement cycle creating hardware upgrade opportunity.

Source: Frost & Sullivan Global Sleep Economy Report 2022; Goldman Sachs equity research; Slumber Smart management estimates.

Competitive Landscape

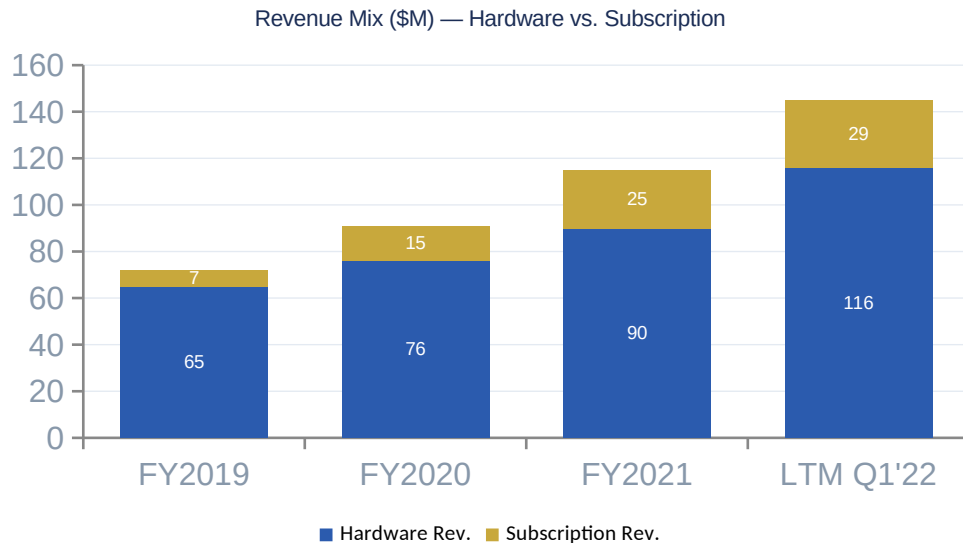
Slumber Smart is the only fully-integrated hardware + AI software platform

Company	ASP > \$999	Integrated HW/SW	Subscription	International	B2B	Positioning
Slumber Smart	✓	✓	✓	✓	✓	Only fully integrated platform
Eight Sleep	✓	~	✓	✗	✗	Thermal regulation, no AI coaching
Whoop	✗	✗	✓	✓	~	Wearable only; no sleep environment control
Oura Ring	✗	✗	✓	✓	✗	Biometric ring only; no intervention
Sleep Number	✓	~	✗	✗	✗	Legacy mattress co.; weak software layer
Casper	✗	✗	✗	✗	✗	Foam mattress; no technology integration

✓ = Full capability ~ = Partial capability ✗ = Not present | Source: Goldman Sachs analysis, company websites, industry reports.

Business Model

Recurring software layer driving margin expansion on durable hardware base



Hardware Gross Margin

↑ +8pp vs. FY2019

44.2%

Software Gross Margin

Stable; scale benefits ahead

71.5%

Blended Gross Margin

↑ as software mix increases

45.5%

Customer Acq. Cost (DTC)

↓ 22% vs. FY2019

\$180

LTV (hardware + 3yr sub)

↑ with upsell to Premium tier

\$1,900+

LTV / CAC

Best-in-class for consumer HW

10.6x

Payback Period (DTC)

↓ from 9 months in FY2019

<6 months

Customer & Channel Strategy

DTC-first model with deliberate retail expansion

Direct-to-Consumer (slumbersmart.com) 78%	Retail Partners 16%	International
~\$113M LTM	~\$23M LTM	~\$9M LTM
Own the customer relationship and data	Nordstrom, Crate & Barrel, Best Buy (2022)	UK (slumbersmart.co.uk) + Australia launched Q3 2021
45%+ gross margin on DTC sales	Showroom environment drives \$1,799 Pro model	DTC-only internationally; retail TBD 2023
Email/SMS CRM drives upsell to Premium subscription	Retail gross margin ~31% — offset by brand halo	Europe (DE/FR/NL) in market-entry planning

Historical Financial Performance

\$ in millions; FY ends December 31

(\$M unless noted)	FY2019	FY2020	FY2021	LTM Q1'22
Revenue	72.0	91.2	115.0	145.1
YoY Growth	—	+26.7%	+26.1%	+28.3%
Gross Profit	28.0	37.1	50.0	66.0
Gross Margin %	38.9%	40.7%	43.5%	45.5%
Sales & Marketing	16.8	19.4	23.0	29.0
Research & Development	8.6	9.8	12.0	14.5
General & Administrative	5.6	6.6	8.2	9.8
Adj. EBITDA	7.5	9.8	14.2	18.0
EBITDA Margin %	10.4%	10.8%	12.3%	12.4%
D&A	(4.1)	(5.0)	(6.2)	(7.8)
EBIT	3.4	4.8	8.0	10.2
Interest Expense	(2.8)	(2.6)	(2.4)	(2.2)
Pre-tax Income	0.6	2.2	5.6	8.0

Noted: Adj. EBITDA excludes stock-based compensation, one-time restructuring charges, and acquisition-related expenses. D&A includes software amortization.

Balance Sheet & Capital Structure

As of Q1 2022 (March 31, 2022); \$ in millions

(\$M)	Q1 2022	FY2021
ASSETS		
Cash & equivalents	18.2	—
Accounts receivable	22.4	—
Inventory	31.5	—
Total Current Assets	72.1	—
PP&E, net	28.6	—
Intangibles & IP	12.4	—
Total Assets	113.1	—
LIABILITIES		
Accounts payable	18.5	—
Accrued liabilities	9.2	—
Total Debt	65.0	—
Total Liabilities	92.7	—
Total Equity	20.4	—

Capital Structure

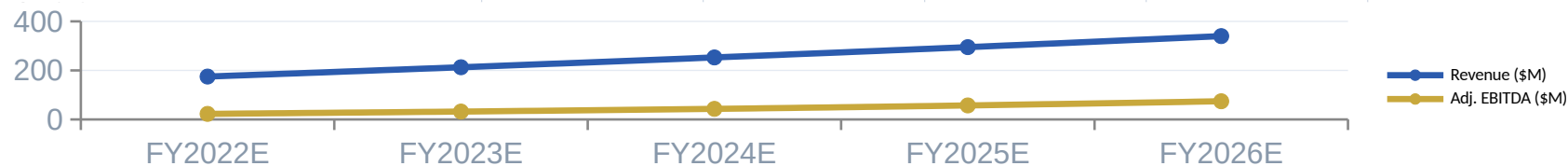
Instrument	Maturity	Balance	Leverage
Senior Secured TL (LIBOR+350)	2026	\$45.0M	2.9x LTM EBITDA
2nd Lien Term Loan	2027	\$20.0M	4.2x total
Total Debt		\$65.0M	
(-) Cash		(\$18.2M)	
Total Debt Consideration		\$46.8M	3.0x net leverage

Enterprise Value (guidance)	~\$200M
Revenue Multiple (LTM)	1.4x
EBITDA Multiple (LTM)	11.1x
Equity Value (est.)	~\$135M

Financial Projections

Management case; \$ in millions — FY2022E through FY2026E

(\$M unless noted)	FY2022E	FY2023E	FY2024E	FY2025E	FY2026E
Revenue	175	213	253	295	340
YoY Growth	+21%E	+22%E	+19%E	+17%E	+15%E
Gross Profit	81	101	124	148	176
Gross Margin %	46.3%	47.4%	49.0%	50.2%	51.8%
Adj. EBITDA	22.5	32.0	43.0	57.0	74.0
EBITDA Margin %	12.9%	15.0%	17.0%	19.3%	21.8%
Capex	(10.5)	(11.5)	(12.0)	(12.5)	(13.0)



Management projections. Not independently verified by Goldman Sachs. Actual results may differ materially.

Subscription Economics & ARR Bridge

Subscription ARR grew from \$7M (FY2019) to \$29M (LTM Q1 2022), a 61% CAGR. Attach rate on new hardware sold increased from 38% (FY2019) to 73% (LTM). Premium tier upsell rate reached 31% of subscriber base. Net Revenue Retention of 115% reflects expansion revenue from Basic→Premium upgrades.

Key assumptions in management projections:

- Hardware unit growth: 18–22% annually through FY2024, decelerating to 14–16% FY2025–26
- ASP: modest price increase of 3–4% in FY2023 with Pro Gen 4 launch
- Software attach rate: reaching 85% of new units by FY2024
- Gross margin expansion: 45.5% → 51.8% driven by software mix and manufacturing efficiencies
- OpEx leverage: S&M declining as % of revenue as brand awareness matures; R&D stable
- International contribution: growing from 6% to 18% of revenue by FY2026

Sensitivity Analysis & Scenario Planning

Three scenarios presented by management for potential acquiror diligence:

Base Case (presented): 21% revenue CAGR, margin expansion to 21.8% EBITDA by FY2026. Assumes successful Gen 4 launch, European market entry, and B2B channel contribution.

Downside Case: 14% revenue CAGR, margins plateau at 16% EBITDA. Assumes delayed Gen 4, competitive pressure from Eight Sleep, and softer consumer spending environment.

Upside Case: 26% revenue CAGR, margins reach 24% EBITDA. Assumes accelerated subscription attach, successful B2B rollout, and earlier-than-expected European profitability.

Note: Goldman Sachs has not independently modeled or validated these scenarios. Prospective purchasers are encouraged to conduct independent financial modeling.

Management Team

Experienced operators with complementary backgrounds

Maya Chen

M

Chief Executive Officer & Founder

Founder of Slumber Smart (2014). Previously VP Product at Fitbit where she led the Fitbit Ionic and Sense product lines. Stanford GSB MBA, BS Computer Science UC Berkeley. Holds 6 of the company's 10 granted patents.

Rachel Torres

R

Chief Financial Officer

Joined Slumber Smart in 2020. Previously CFO at Purple Innovation through its 2018 Nasdaq IPO and subsequent growth. CPA, MBA from Wharton. 15+ years in consumer products finance.

Kevin Park

K

Chief Operating Officer

Built and scaled Slumber Smart's supply chain and manufacturing partnerships since 2019. Prior: VP Supply Chain at Casper Sleep for 6 years. Led COGS reduction of 7pp over tenure. BS Industrial Engineering, Georgia Tech.

Sarah Lindqvist

S

Chief Marketing Officer

Joined 2021. Former VP Digital Marketing at Peloton during peak growth (2018–2021). Architected Slumber Smart's DTC acquisition strategy; CAC reduced 22% in first 12 months.

Arjun Mehta

A

Chief Technology Officer

Co-founded SlumberAI division. PhD Machine Learning, MIT. Previously research scientist at Apple Health AI. Leads 45-person engineering team; responsible for SlumberOS platform.

Diana Osei

D

VP Sales & Partnerships

Led retail expansion to Nordstrom, Crate & Barrel, and Best Buy. Manages Marriott B2B pilot and corporate wellness pipeline. Previously National Accounts Manager at Purple Innovation.

Transaction Overview

Goldman Sachs exclusive sell-side advisory — Spring 2022

Valuation Context

Metric	Value	Commentary
Enterprise Value (guide)	~\$200M	11.1x LTM Adj. EBITDA
Revenue Multiple (LTM)	1.4x	Reflects hardware-software mix
Revenue Multiple (FY2022E)	1.1x	Attractive on growth-adjusted basis
EBITDA Multiple (LTM)	11.1x	Premium for recurring revenue quality
EBITDA Multiple (FY2023E)	6.3x	Reflects rapid margin expansion path

Process Structure & Contacts

Structure	Limited auction; 8 invited parties
Data Room	Virtual (Datasite); open to R2 advancers
Management	Full-team MP available; CEO-led
Exclusivity	Subject to process letter terms
Advisor	Goldman Sachs & Co. LLC (exclusive)

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APPENDIX

Additional Supporting Materials

Financial detail · Customer cohort analysis · Product roadmap · Reference customers available upon request

Additional materials available in the virtual data room upon execution of NDA and advancement to Round 2.